

## RESTORATION HARDWARE HOLDINGS, INC.

# The Levered Luxury Bet

Equity Research Note · Consumer Discretionary — Homefurnishing Retail · September 28, 2026

| Recommendation | 12-Mo. Price Target | Current Price                         | Implied Upside | Risk Rating |
|----------------|---------------------|---------------------------------------|----------------|-------------|
| <b>BUY</b>     | <b>\$265</b>        | <b>\$122.91</b><br>Sep 26, 2026 close | <b>+116%</b>   | <b>High</b> |

RH is a luxury home-furnishings brand being priced like a distressed cyclical retailer. The stock has fallen 48% from its 52-week high on a brutal combination: the worst U.S. housing market in four decades, tariff chaos, margin compression from a heavy international build-out, and a balance sheet carrying \$2.26 billion of net debt against just \$61 million of book equity after \$2.25 billion of buybacks in 2022–23. Yet underneath the rubble, the operating business is inflecting: Q2 (Aug 2026) revenue and normalized EBITDA both beat the high end of guidance, the RH Estates launch — priced 45% above the core line and, per management, capable of doubling the addressable market — is drawing new customers, London's Mayfair flagship built a \$7 million design pipeline in its first eight weeks, and management guides \$300–400 million of annual cash generation. Our scenario-weighted FCFF DCF points to \$267/share (bear \$10 / base \$291 / bull \$591); we set a **\$265** target and rate the shares **BUY**. Read the bear case first: 4.2x leverage means this equity is a call option on the turnaround, and if the housing freeze extends into 2028 the downside is severe. Sized as a high-conviction, high-risk position — not a core holding.

|                                |                                    |                    |                   |
|--------------------------------|------------------------------------|--------------------|-------------------|
| Market cap                     | ~\$2.35 bn                         | Shares out.        | ~18.9 m           |
| 52-week range                  | \$106.30 – \$239.40                | YTD / 1-yr return  | -31% / -38%       |
| Net debt / leverage            | \$2.26 bn / 4.2x EBITDA            | Book equity        | \$61 m (buybacks) |
| FY26E rev / adj. EBITDA margin | \$3.63–3.68 bn / 15.0–16.2%        | Trailing / fwd P/E | 21.8x / 14.1x     |
| Street consensus               | \$165.57 avg (Hold),<br>\$81–\$210 | Beta               | 1.86              |

Prices as of September 26, 2026 close. RH fiscal years end in late January (FY26 = year ending Jan 31, 2027). Financial figures from company releases and SEC filings; Q2 FY26 reported September 10, 2026. This note is an independent research-style analysis for informational purposes, not investment advice.

## 1. Investment thesis

Inflection is underway, the price hasn't noticed. Q2 revenue (\$922.2M, +2.6%) and normalized adjusted EBITDA margin (13.4%) both beat the high end of guidance, with growth accelerating 4.2 points from Q1. The stock fell anyway — down 48% from its high — because the market sees only the housing freeze and the margin drag. We see a business entering its harvest phase.

RH Estates is the most important product launch in the company's history. A new collection priced ~45% above the core line, aimed at the 60% of luxury homes with classic/traditional architecture that RH historically underserved — management believes it can double the total addressable market and eventually represent half the assortment. Early reads: new customers who had never bought from RH,

'overwhelmingly positive' response, and 80% of volume galleries carrying it on the main floor by mid-November.

The gallery flywheel is a genuine moat. 138 locations including palatial Design Galleries with restaurants that generate ~65% of the aggregate rent of the galleries they sit in — the hospitality traffic *pays for the real estate*. New formats (single-story galleries, Compounds in Naples/Aventura opening 2027 with 12–18-month paybacks) cut build costs while the capex cycle peaks: adjusted capex falls to \$175–200M in FY27 from \$240–260M in FY26.

International is the swing from drag to driver. Paris, Milan and now London (Mayfair flagship, \$7M design pipeline in 8 weeks — comparable to Newport and New York) are open; the 340bp FY26 margin drag from pre-opening costs steps down in FY27 with no new European openings. Management's stated ambition: a \$20–25 billion global revenue brand.

Mid-cycle earnings power is far above current earnings. At the last housing peak RH did \$3.59B of revenue at ~19.5% EBITDA margins; FY25 trough was \$3.44B at 15.8%. Our base case has revenue compounding ~7% to \$6.7B by FY35 with margins recovering to 20% — below the 27%+ achieved in FY21 — generating ~\$800M of annual free cash flow that delevers the balance sheet.

Valuation: the market prices distress; the DCF prices a cycle. At \$122.91 the shares trade at 14.7x trailing EBITDA and 14.1x forward earnings — but on trough earnings. Our three-scenario FCFF DCF gives \$10 (housing freeze persists) / \$291 (base) / \$591 (Estates + housing snapback), weighted to \$267. Multiples cross-checks (18x fwd P/E → \$157; 11x FY26E EV/EBITDA → \$209) bracket a \$265 target, +116%.

The leverage cuts both ways — hence High risk, small size. \$2.26B of net debt is 4.2x TTM adjusted EBITDA, book equity is \$61M, and the \$2.5B term loan matures in October 2028. In our bear case the equity is worth ~\$10/share. This is a call option on Gary Friedman's turnaround, and it must be sized like one.

## 2. Company overview: what RH actually does

RH (NYSE: RH), founded in 1979 in California as Restoration Hardware and rebranded in 2012, is a luxury home-furnishings company that Chairman and CEO Gary Friedman has spent 15 years transforming from a hardware-and-restoration cataloguer into what he calls a 'luxury lifestyle brand' — and increasingly, an **experiential retail and hospitality platform**. The company designs, markets and sells furniture, lighting, textiles, rugs, bath and hardware, outdoor furnishings and décor across design categories (Interiors, Modern, Outdoor, Baby & Child, Teen, and now Estates), sold through RH Galleries, outlets, Source Books and digital platforms.

**The gallery model.** RH operates 138 locations (up from 130 a year ago), anchored by Design Galleries — multi-story, architecturally significant buildings (a Beaux-Arts limestone mansion in Greenwich, five levels in London's Mayfair between New Bond Street and Savile Row, the Champs-Élysées in Paris) staged as immersive room settings rather than stores. More than a dozen galleries house RH restaurants, wine bars and cafés. The economics are unusual: the hospitality concepts drive destination traffic and, per management, generate on average **65% of the aggregate rent** of the galleries they reside in — the restaurants subsidize the world's most expensive showrooms, which in turn sell \$8,000 sofas. RH is also building the 'world's largest residential interior design firm,' moving from selling products to selling whole spaces — a higher-ticket, stickier revenue stream.

**The membership pricing model.** RH's commercial engine is a \$200/year membership: members get 30% off everything (including sale merchandise), complimentary interior-design services, and access to preferred credit-card financing. On a \$3,000 order the discount alone is \$900 — the fee pays for itself instantly, which is the point: it converts one-time furniture buyers into committed, repeat luxury customers, funds the design-service flywheel, and creates a visible two-tier price architecture that preserves the brand's full-price anchor while rewarding loyalty. Non-members pay full price; members never do. It is the Costco playbook applied to \$10,000 sectionals.

**How it makes money:** gross margin on luxury home furnishings (gross margin 48.2% in Q2 including tariff benefits; ~43% normalized), membership fees, hospitality revenue, and interior-design services. The model is asset-heavy on real estate (owned/leased galleries) and inventory (\$819M), funded historically by operating cash flow and — aggressively in 2021–22 — by debt raised to repurchase shares.

### 3. Financial review

**The cycle in four years.** FY22 (ended Jan 2023) was the peak: \$3.59B of revenue, \$528.6M of net income, 19.5% EBITDA margins — the pandemic home-furnishing boom. Then the housing freeze hit: revenue fell 15.6% in FY23, net income collapsed to \$127.6M, and FY24 (ended Jan 2025) was the trough at \$72.4M of net income. FY25 (ended Jan 2026) began the recovery: revenue +8.1% to \$3.44B, EBITDA +20% to \$543.6M, free cash flow +\$249M. The business is roughly back to peak revenue at roughly two-thirds of peak earnings — that gap is the opportunity, and the international build-out is the reason it persists.

| Fiscal year (ends Jan)   | FY22<br>(Jan-23)    | FY23<br>(Jan-24)     | FY24<br>(Jan-25)     | FY25<br>(Jan-26)   |
|--------------------------|---------------------|----------------------|----------------------|--------------------|
| Revenue                  | \$3,590 m           | \$3,029 m            | \$3,181 m            | \$3,440 m          |
| Revenue growth           | −4.7%               | −15.6%               | +5.0%                | +8.1%              |
| Gross profit (margin)    | \$1,812 m (50.5%)   | \$1,389 m (45.9%)    | \$1,415 m (44.5%)    | \$1,516 m (44.1%)  |
| EBITDA (margin)          | \$700 m (19.5%)     | \$524 m (17.3%)      | \$453 m (14.2%)      | \$544 m (15.8%)    |
| Net income (margin)      | \$528.6 m (14.7%)   | \$127.6 m (4.2%)     | \$72.4 m (2.3%)      | \$124.8 m (3.6%)   |
| Diluted EPS              | \$19.90             | \$5.91               | \$3.62               | \$6.31             |
| Operating cash flow      | \$404 m             | \$202 m              | \$17 m               | \$452 m            |
| Free cash flow           | \$230 m             | −\$67 m              | −\$214 m             | \$249 m            |
| Share buybacks           | \$1,000 m           | \$1,253 m            | \$12 m               | \$0 m              |
| Total debt / book equity | \$3,748 m / \$785 m | \$3,716 m / −\$297 m | \$3,938 m / −\$164 m | \$3,969 m / \$61 m |

Fiscal years end in late January. Total debt includes operating-lease liabilities (~\$1.5B); company-disclosed net financial debt was \$2.26B at Q2 FY26. Source: company 10-K filings via Yahoo Finance.

**Q2 FY26 (reported September 10, 2026): beat on both lines, stock fell anyway.** Revenue of \$922.2M (+2.6% YoY) and normalized adjusted EBITDA margin of 13.4% both exceeded the high end of guidance, with growth accelerating 4.2 points from Q1. Adjusted EPS of \$2.70 crushed the \$0.39 consensus. But the print was noisy: \$55.1M of tariff benefits (IEEPA refunds) flattered gross margin by ~600bp, and Q3 guidance (revenue +5–6%, margin 12.5–13.5%) came in below the Street. The shares slid ~18% over the following month — the market is unwilling to pay for a recovery it can't yet see in clean numbers.

| Q2 FY26 metric                   | Q2 FY26           | Q2 FY25          | YoY           |
|----------------------------------|-------------------|------------------|---------------|
| Revenue                          | \$922.2 m         | \$899.0 m        | +2.6%         |
| GAAP net income (margin)         | \$60.2 m (6.5%)   | \$51.7 m (5.8%)  | +16%          |
| Adjusted EPS                     | \$2.70            | \$0.39 cons.     | beat          |
| Adjusted EBITDA (margin)         | \$178.5 m (19.4%) | n/a              | +55% vs est.  |
| Normalized adj. EBITDA (margin)* | \$123.5 m (13.4%) | ~\$144 m (16.3%) | margin −2.9pp |
| Free cash flow                   | \$99.6 m          | \$80.7 m         | +23%          |
| Locations / same-store sales     | 138 / −1.2%       | 130 / +5.9%      | +8 net        |
| Net debt / leverage              | \$2.26 bn / 4.2x  | ~\$2.3 bn        | flat          |

\*Excluding \$55.1M of tariff benefits recognized in gross margin. Source: company Q2 FY26 press release and earnings call.

**Six-quarter trend: the trough is behind, the slope is gentle.**

Quarterly revenue (navy, \$m) and EBITDA (bronze, \$m). \*Q3'26 is the midpoint of company guidance (revenue +5–6% on Q2'26 base shown illustratively). Source: company filings.

**Balance sheet: the buyback legacy.** In FY22–23 RH spent **\$2.25 billion repurchasing shares** — funded by the \$2.5B term-loan financing — cutting diluted shares from 26.6M to 19.8M and wiping out book equity (negative \$297M at FY23-end; just \$61M today). Financially it was brilliant if the stock had recovered: EPS leverage on any earnings rebound is enormous. But it left the company with \$2.26B of net financial debt (4.2x TTM adjusted EBITDA), ~\$225M of annual interest, and a \$2.5B term loan maturing in **October 2028** (SOFR + 3.25%) that must be refinanced — the single most important date on RH's calendar. Liquidity is adequate (cash \$125.5M, \$13.7B+ of liquidity facilities per filings, \$300–400M of guided annual cash generation), but there is no margin for a multi-year earnings disappointment. The capital structure is the reason the equity behaves like an option: modest upside to enterprise value accrues almost entirely to shareholders; modest downside destroys them.

## 4. Growth outlook

**FY26 guidance (raised September 10, 2026):** revenue growth of 5.5–7.0% (\$3.63–\$3.68B), adjusted EBITDA margin of 15.0–16.2%, and \$300–400M from free cash flow, asset sales and distributions from equity-method investments (including the Aspen joint ventures). Q3: revenue +5–6%, margin 12.5–13.5%. The guidance embeds ~340bp of international pre-opening drag — ex-drag, the core business is already running near 19% EBITDA margins.

### What drives the next leg:

**RH Estates (2026–27).** The 'most prolific collection of new products in our history' — RH Bespoke furniture and RH Couture upholstery aimed at classic/traditional luxury homes, priced ~45% above the core line and largely protected by trade dress and pending design patents. The first freestanding Estates gallery opened September 2026 in Greenwich, CT (a Beaux-Arts limestone mansion, 20,000 sq ft, with an 88-seat restaurant); 80% of volume-producing galleries carry the collection on the main floor by mid-November; a Melrose Avenue, LA gallery follows in 2027. If management is right that it doubles the addressable market, this is a step-change in the revenue trajectory — prior launches (RH Modern) moved the business 15–20 points.

**International: from drag to driver.** London Mayfair (opened June 27, 2026) built a \$7M design pipeline in eight weeks — on par with Newport and New York — and management expects it to become the highest-volume gallery in the world within three years. Paris and Milan are open; RH England has done ~\$38M of demand in three years. With no new European openings in FY27, the pre-opening drag steps down while the revenue builds. The stated ambition is a \$20–25B global revenue brand — roughly 6x today's scale.

**New gallery formats with better returns.** RH is pivoting from complex multi-story builds (cranes, elevators, deep foundations) to single-story Design Galleries and RH Compounds — multi-building

campuses with garden courtyards and a central restaurant. Naples and Aventura, Florida compounds open in 2027 with expected 12–18-month paybacks. New-gallery opening costs drop to \$18M in FY27 from \$48M in FY26; adjusted capex falls to \$175–200M from \$240–260M.

Hospitality as a profit center, not a marketing expense. Restaurants in 15+ galleries drive destination traffic and brand heat — and cover ~65% of their galleries' rent. The RH Guesthouse (New York) extends the brand into lodging. Hospitality both monetizes the real estate and deepens the luxury positioning that justifies the product pricing.

Trade program acceleration. The revamped designer trade program — custom sizing, bespoke options, enhanced design support — is accelerating meaningfully, opening the professional channel that competitors like Williams-Sonoma have mined for years.

The housing cycle. Friedman: RH has been 'running through the mud for 4 years of the worst housing market in 4 decades.' Existing-home sales sit at multi-decade lows; the 30-year mortgage is near 7%. Any normalization — rate cuts, turnover recovery — is pure operating leverage for a brand whose customer is a homeowner furnishing a house. This is the single largest exogenous swing factor, and it is entirely outside management's control.

## 5. Moat assessment and product evaluation

RH's moat is **brand + experience + ecosystem**, and we rate it **narrow-to-moderate, widening if Estates and international execute**. It is not a cost moat — RH manufactures little and sources ~40% of its assortment from China — and it is not a network moat. It is a luxury-brand moat: the galleries, the restaurants, the Source Books, the membership, and the design-patent portfolio create an aura that lets RH charge \$8,000 for a sofa its competitors sell for \$3,000. The evidence it works: gross margins in the mid-40s, a membership customers renew, and a trade program designers actually use. The evidence it is fragile: same-store sales fell 1.2% last quarter, and the brand depends almost entirely on one man's taste. Sources of the moat:

**Experiential retail that competitors cannot copy cheaply.** A five-level Mayfair flagship with a rooftop restaurant is not replicable by Wayfair or Amazon. The galleries are the advertising: RH spends little on traditional marketing because the buildings are the marketing.

**Membership economics.** \$200/year for 30% off everything plus free design services. It locks in the highest-value customers, generates upfront cash, and segments price-sensitive shoppers without training the market to wait for sales.

**Design IP.** The Estates collection is 'almost entirely protected by trade dress or pending design patents,' with management pledging to pursue copyists — a direct response to the dupe economy that has plagued the Cloud sofa.

**Vertical integration of the luxury experience:** product, interior design services, hospitality, and (via the trade program) the professional channel — a full-stack capture of the luxury home spend.

### Product-by-product evaluation (with pricing model for each):

| Product                                        | Pricing model                                                                                                                     | Assessment                                                                                                                                                                                                                                                                                                             |
|------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Cloud sofa collection</b><br>(hero product) | Luxury anchor: \$6,995 regular / ~\$4,159 member sale (2-cushion); modular sectionals to \$12,980–\$16,075; 'guaranteed for life' | <b>Iconic but embattled.</b> The viral celebrity-favorite that defined 2010s luxury comfort — and spawned a thousand dupes. Genuinely comfortable (down/feather over foam core); quality complaints exist on cushion maintenance. The dupe economy is the strategic threat; design-patent enforcement is the response. |

| Product                                      | Pricing model                                                                         | Assessment                                                                                                                                                                                                                              |
|----------------------------------------------|---------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>RH Estates</b><br>(2026 launch)           | Ultra-luxury: ~45% premium to core line; bespoke/couture tiers; trade-dress protected | <b>Highest potential.</b> Addresses the 60% of luxury homes RH historically missed; early demand from genuinely new customers. Execution risk is the collection's breadth — 'most prolific launch in industry history' sets a high bar. |
| <b>RH Interiors / Modern</b>                 | Core luxury: member/non-member two-tier; 30% member discount                          | <b>Solid core.</b> The revenue base. Modern was the last transformational launch (+15–20 pts of growth); the assortment is now being refreshed across all lines simultaneously.                                                         |
| <b>RH Outdoor</b>                            | Seasonal luxury; high ASP teak/aluminum collections                                   | <b>Strong seasonal driver.</b> Outdoor is a high-margin category where the gallery staging (courtyards, rooftops) sells the lifestyle.                                                                                                  |
| <b>Baby &amp; Child / Teen</b>               | Lifecycle extension pricing; nursery-to-teen continuity                               | <b>Smart lifecycle capture.</b> Acquires the customer at the nursery stage and keeps them through Teen — a decade-plus relationship before they buy their first Cloud sofa.                                                             |
| <b>Membership (\$200/yr)</b>                 | Subscription: 30% off everything + design services + financing access                 | <b>Excellent.</b> Self-funding loyalty: the discount pays for itself on any real order, and the design-service bundling raises ticket sizes. The closest thing RH has to recurring revenue.                                             |
| <b>Hospitality (restaurants, Guesthouse)</b> | Restaurant P&L + covers ~65% of gallery rent; drives traffic                          | <b>Strategic gold.</b> Converts real-estate cost into a profit center while manufacturing brand desire. The most defensible piece of the model — pure e-commerce players cannot replicate it.                                           |
| <b>Interior Design services</b>              | Free with membership; monetized via product sales; trade program fees                 | <b>Scaling well.</b> 'World's largest residential interior design firm' per management; the trade-program revamp is accelerating. Sells spaces, not SKUs — much higher tickets.                                                         |

Net: the product architecture is coherent — a luxury price anchor, a membership that makes the effective price feel earned rather than discounted, and hospitality that manufactures desire. The weak spot is defensibility of individual SKUs against dupes; the answer is design IP and an experience that can't be shipped in a box.

## 6. Competition

| Rival                                                            | Scale / model                                                                              | Threat | Read-through                                                                                                                                                                                                                  |
|------------------------------------------------------------------|--------------------------------------------------------------------------------------------|--------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Williams-Sonoma</b><br>\$7.8B rev, 14.7% net margin, ~24x P/E | Multi-brand (Pottery Barn, West Elm); lower price point; strong B2B; 20-yr dividend grower | High   | The quality comp and the valuation benchmark. 2.3x RH's revenue at 14.7% net margins vs RH's 3.6% — WSM shows what RH's P&L looks like without the international drag and leverage. Growing +6.7% last quarter vs RH's +2.6%. |
| <b>Wayfair</b><br>\$12.5B rev, -2.5% margin                      | Online-first, massive breadth, price competition; 6.9% EBITDA margin at best               | Medium | 3.6x RH's revenue but structurally lower-margin and undifferentiated — 'no reason for customers to remain sticky' (Morningstar). Competes for the customer's wallet, not for RH's luxury positioning.                         |
| <b>Arhaus</b><br>~\$1.3B rev, +7.4% growth                       | Premium American-made; custom upholstery; lean balance sheet                               | Medium | The purest premium-furniture comp — and it's outgrowing RH (+7.4% vs +2.6%) without the leverage. RH is 3x the revenue with deeper immersion (hospitality, membership); Arhaus shows the category has legs.                   |
| <b>Crate &amp; Barrel / CB2 Private</b>                          | Design-led, mid-luxury; strong urban footprint                                             | Medium | Overlaps RH Modern's aesthetic at lower prices. Private ownership means less disclosure, but it is the most direct style competitor in major metros.                                                                          |

| Rival                                                          | Scale / model                                             | Threat  | Read-through                                                                                                                                                                                       |
|----------------------------------------------------------------|-----------------------------------------------------------|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Ethan Allen</b><br>~\$700M, declining                       | Traditional/formal; aging demographic                     | Low     | A cautionary tale: the former category leader losing relevance. RH's modernization and hospitality are exactly the playbook Ethan Allen failed to execute.                                         |
| <b>European luxury</b><br>(Poltrona Frau, B&B Italia, Cassina) | Ultra-premium Italian craftsmanship; limited distribution | Low–Med | RH Estates moves deliberately into their territory — at far lower prices and vastly greater scale. If Estates works, RH arbitrages European luxury aesthetics for the American upper-middle class. |

The competitive map favors RH's positioning: it is the only player combining luxury product, experiential flagships, hospitality, membership and design services. Williams-Sonoma is the better business *today* (higher margins, no leverage, dividend); RH is the higher-beta bet on the category's luxuryization. Nobody else is building five-story restaurants that sell sofas.

## 7. Key risks

**Leverage and the October 2028 maturity (the #1 risk).** Net financial debt of \$2.26B is 4.2x TTM adjusted EBITDA; book equity is \$61M; the \$2.5B term loan (SOFR + 3.25%) matures in October 2028 and must be refinanced. Interest runs ~\$225M a year — nearly 2x FY25 net income. In our bear case the equity is worth ~\$10/share. Any sustained earnings disappointment raises covenant and refinancing risk, and the refinancing will almost certainly come at a higher spread than the 2021 vintage.

**Housing freeze persists.** RH has endured 'the worst housing market in 4 decades' for four years; existing-home sales remain at multi-decade lows and the 30-year mortgage is near 7%. Furniture demand tracks housing turnover with a lag. If the freeze extends into 2028, revenue stagnates, the 340bp international drag never gets covered by operating leverage, and the bear case plays out.

**Tariffs.** ~40% of the assortment is sourced from China. IEEPA tariffs were struck down in February 2026 but replaced by new tariff regimes; Q4 carried a ~\$190M tariff impact and management guides 'a higher cost world for at least the next 6–12 months.' Resourcing the supply chain takes 18–24 months. A \$55.1M tariff *benefit* flattered Q2 — the underlying cost pressure is the real story.

**International execution.** Germany gallery impairments are a reminder that the US playbook doesn't auto-translate. Paris, Milan and London are open and early reads are good, but the ramp to contribution takes 2–3 years and the FY26 drag is 340bp of margin. A stumble in Europe strands hundreds of millions of invested capital.

**RH Estates product miss.** 'The most prolific collection in the history of our industry' creates enormous expectations at a 45% price premium, launched into a housing downturn. If it doesn't resonate, the growth inflection is delayed 12–18 months and the inventory bet becomes a markdown problem.

**Key-man risk: Gary Friedman.** No public company in this sector depends as completely on one individual's taste, vision and force of will. There is no disclosed succession plan. A Friedman premium is embedded in any bull case — and a Friedman discount would be immediate on his departure.

**Shareholder litigation.** Multiple shareholder suits filed in April 2026 investigate potential fraud claims around buyback timing and disclosures. The \$2.25B of buybacks in 2022–23 — at prices far above today's — will be Exhibit A. Outcomes are unknowable; headline risk is not.

**Cyclical consumer and valuation.** Beta of 1.86 means macro selloffs hit nearly 2x as hard (YTD –31%). At 21.8x trailing earnings on trough earnings, the multiple offers no cushion if the recovery stalls — the stock fell 18% in a month *after beating guidance*.

## 8. Valuation: three lenses, one answer

**Lens 1 — FCFF DCF (primary).** We discount free cash flow to the firm over an explicit 10-year horizon (FY26–FY35; FY26 = year ending Jan 2027), then a Gordon terminal value. Revenue and margin paths reflect the

Estates launch, the international ramp, and a gradual housing normalization; capex steps down per management guidance (\$240–260M → \$175–200M); interest declines as FCF delevers the balance sheet; tax 25%. Equity value = firm EV minus \$2.26B of company-disclosed net financial debt, over 18.93M shares. Operating-lease liabilities (~\$1.5B) are treated as operating rent inside EBITDA, consistent with the company's own leverage metric.

| Scenario        | Key assumptions                                                                                                                          | Firm EV    | Per share    | Weight |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------|------------|--------------|--------|
| <b>Bear</b>     | Housing frozen to 2028; tariffs linger; Estates underwhelms; revenue CAGR ~3.8% to \$5.0B; margins stuck ~15.6%; WACC 10.8%, g 2.0%      | \$2,448 m  | <b>\$10</b>  | 30%    |
| <b>Base</b>     | Estates + galleries work; housing normalizes; revenue CAGR ~6.9% to \$6.7B; margins recover to 20% (vs 27% FY21 peak); WACC 9.5%, g 2.8% | \$7,767 m  | <b>\$291</b> | 50%    |
| <b>Bull</b>     | Estates doubles TAM; housing snaps back; revenue CAGR ~9.5% to \$8.5B; margins 22%; WACC 9.0%, g 3.3%                                    | \$13,442 m | <b>\$591</b> | 20%    |
| <b>Weighted</b> | 30 / 50 / 20                                                                                                                             |            | <b>\$267</b> |        |

The spread is the story: 4.2x leverage makes this equity a call option. In the bear case the debt consumes nearly the entire firm value (\$188M of equity); in the base and bull cases, modest enterprise-value upside accrues almost entirely to shareholders. Our 30% bear weight is deliberate — the housing and tariff risks are real — but the probability-weighted value still points to \$267. Note the terminal value is ~60% of base-case EV, normal for a growth DCF but a reminder that the call depends on the long-run luxury-brand thesis, not next quarter.

**Lens 2 — P/E multiples.** On consensus forward EPS of \$8.71 (FY ending Jan 2028), RH trades at 14.1x — a discount to Williams-Sonoma (~22x forward) despite comparable luxury positioning. A re-rating toward a mid-teens multiple as earnings recover is the mechanism:

| Multiple on \$8.71 fwd EPS | Implied price | Rationale                                                  |
|----------------------------|---------------|------------------------------------------------------------|
| 12x (bear)                 | \$105         | Cyclical-retail trough multiple; housing stays frozen      |
| 18x (base)                 | \$157         | In line with specialty-luxury retail on recovered earnings |
| 24x (bull)                 | \$209         | WSM-like multiple on a successful Estates cycle            |

**Lens 3 — EV/EBITDA.** On FY26E adjusted EBITDA of ~\$565M (15.5% margin on guided revenue), the current EV of \$6.33B implies 11.2x — full for a trough year, which is precisely why the stock looks 'expensive' on trailing numbers and cheap on mid-cycle ones:

| EV/EBITDA on FY26E \$565M | Implied EV | Implied equity / share* |
|---------------------------|------------|-------------------------|
| 9x (bear)                 | \$5,086 m  | \$2,826 m / \$149       |
| 11x (base)                | \$6,216 m  | \$3,956 m / \$209       |
| 14x (bull)                | \$7,912 m  | \$5,652 m / \$299       |

\*Equity = EV minus \$2.26B net financial debt, over 18.93M shares.

**Target:** our DCF-weighted \$267 is the primary anchor; the P/E (\$157) and EV/EBITDA (\$209) cross-checks sit below it because they price trough-to-early-cycle earnings while the DCF captures the full deleveraging arc. We set a **\$265** 12-month target — above the Street average of \$165.57 (Hold) and near the Street high of \$210 — implying **+116% upside**. We are deliberately more constructive than consensus: the Street is anchored on the margin drag it can see; our work prices the margin recovery it hasn't yet believed.

## 9. Recommendation

We rate RH **BUY** with a **\$265** 12-month price target (+116% upside), **High risk**. The thesis in one line: the market is pricing a trough cyclical retailer with a scary balance sheet; we see a luxury brand at an earnings inflection with a

product catalyst (Estates), a fading margin drag (international), and a capital structure that turns modest enterprise-value recovery into a triple for the equity.

**What gets us there (catalysts):** Q3 results (December) confirming the revenue acceleration and Estates sell-through; continued design-pipeline conversion at London/Paris/Milan; FY27 guidance showing the international drag stepping down; any housing-turnover recovery or rate relief; progress on the October 2028 refinancing.

**What breaks the thesis:** housing frozen through 2028, tariff costs re-accelerating, an Estates miss, or a dilutive/distressed refinancing of the 2028 term loan — any of which pushes fair value toward our \$10 bear case and impairs the equity severely. That is why this is a starter-sized, high-conviction, high-risk position: 2–4% of a portfolio, not a core holding.

**Positioning:** for investors who can underwrite cyclical leverage and a single-key-man brand, RH offers +116% to our \$265 target (\$591 bull case) against a well-defined bear case. Initiate at current levels; add on Q3 evidence that Estates is converting design pipelines into delivered revenue and that the international drag is rolling off on schedule.

## Appendix: sources and verification notes

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Company: RH Q2 FY2026 press release and earnings call (September 10, 2026) via Pulse2, StockTitan 8-K summary, Mitrade/Sharewise/TranscriptDaily call highlights, AlphaStreet transcript; Q1 FY26 (June 11, 2026) via StockStory; FY2025 10-K and Q4 FY2025 8-K ex-99.2 (SEC EDGAR). Financial history: company 10-K filings via Yahoo Finance (annual) and Finnhub/MarketBeat (market data, consensus). Strategy/reporting: ainvest.com on the gallery model (Sept 2026); GitHub rwh wiki synthesis of the FY2025 10-K. Product pricing: rh.com (Cloud Chair listing), blackerfriday.com (member pricing), apartmenttherapy.com (sofa reviews, membership). Peers: MarketBeat compare (WSM/W/RH), Morningstar on Wayfair (Aug 2026). Debt: RH 8-K filings on the \$2.0B (Oct 2021) and \$500M incremental (May 2022) term loans, Bank of America as agent.

Items we could not fully verify and excluded from the valuation: the specific allegations and strength of the April 2026 shareholder lawsuits; the precise China-sourcing share beyond the ~40% cited; RH's internal conversion rate of design pipelines to delivered revenue; the economics of the Aspen joint-venture distributions beyond reported quarterly amounts. Q2 FY25 comparative EBITDA is estimated from quarterly filings. Forward EPS (\$8.71) and consensus target (\$165.57) per MarketBeat/Finnhub, September 2026. This analysis was prepared September 28, 2026 for informational purposes only and is not investment advice; all forward-looking statements involve risk and uncertainty.